

Table 53.7 How Often Stops Hit

Description	Down Breakout
Pattern top	3%
Middle	14%
Pattern bottom	65%

Table 53.8 Performance and Failures Over Time for Bull Markets

Description	Up Breakout	Down Breakout
1990s	30%	−18%
2000s	46%	−9%
2010s	31%	−14%
Performance (above), Failures (below)		
1990s	9%	6%
2000s	5%	8%
2010s	12%	7%

Table 53.8 shows the performance of roof patterns over time for bull markets.

Performance over time. I sorted the patterns into three bins by the date of the breakout. The best performance came from roof patterns with upward breakouts in the 2000s with gains averaging 46%. The worst performance was in the 1990s with gains of 30%, but the 31% rise during the 2010s was a close second.

Downward breakouts showed the best performance in the 1990s (drops averaged 18%) with the 2000s showing drops averaging just 9%.

Failures over time. I used the breakeven failure rate (5%) as the benchmark and sorted the date of the breakout from a roof into one of the three “decade” bins. The decade (2000s) with the best performing roofs also had the fewest failures, at 5% (upward breakouts). For downward breakouts, the 1990s showed the best performance and the fewest failures, at 6%.